

How the situation plays out over the next 10 years is critical. Today, top 10 cities contribute to deposits. Over the next 10 years, top 50 cities may account for 60, 70, or even 80% of banks' deposit base. Tomorrow, if that becomes a trend, where will banks get deposits from? People do not realise that capital markets can switch off. Banks, with their relationship-led approach, if liquidity tightens or if the RBI signals something adverse, will pull back. So, what will happen then? The biggest source of money will stop, and banks will be left without that cushion.

Just as the mutual fund industry ran a very successful campaign—*Mutual Fund Sahi Hai*—it is time for banks to reflect on how they can generate excitement, confidence, and enthusiasm towards bank deposits once again.

Q: On sustainability of margin expansion and profitability.

A: Great banks have NIMs above 4%, and most banks have NIMs in the 3% range. One of the reasons NIMs have become relatively high is the low level of credit impairment. As management, we should not project this level of health and this scenario into the future. In India, we have not experienced any sustained period of joblessness. If you are a risk manager, you should provide for that. Therefore, I think this looks as good as it gets.

Good managements are increasingly using this period to fortify their balance sheets. Take, for example, the provision coverage ratio for many banks, which is now 80–90%. Many banks have started keeping provisions against standard assets. There is no immediate need to provide; they are doing this only to build buffers today.

I think the banking industry has never been in a healthier shape. All the parameters are as good as they have ever been, which is great for the economy. Should

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the economy suddenly need a burst of capital, lending, or financing, there is no constraint whatsoever.

Q: On banks' increasing focus on retail loan assets over corporate lending.

A: I think there are structural factors at play. Most retail borrowers tend to be young, largely in their 30s. These youngsters tend to spend or consume